ICICI Bank

DALAL & BROACHA

Company Update | BFSI

Equity Research Desk

19 July 2022

Best placed currently

ICICI Bank is in the one of the best phase currently wherein not only its balance-sheet has strengthen but also moving from corporate to retail driven bank has brought desired sustainability in its profits. We expect PAT to grow by 21% CAGR during FY22-24e and ROA/ROE would escalate to 2%/16.6% in FY24e from 1.8%/14.7% i0n FY22. NII growth is likely to be very strong (CAGR growth of 23% FY22-24e) led by healthy asset growth coupled with margin expansion

On the asset quality side, we do not see any negative surprises (gross NPAs estimated to be at 3.4% in FY23e vs. 3.9% in FY22). Positively, the bank holds contingent provisions Rs74.5 bn as at FY22.

ICICI Bank is one of our top bet in banking space. We retain BUY rating on the stock with revised TP of Rs1012 (upside of 31% from current levels); valuing parent bank at Rs853 (assigning a multiple of 2.8x on FY24e ABV), life insurance at Rs62, general insurance at Rs52, asset management business at Rs42, securities business at Rs25 and home finance business at Rs2 and overseas subsidiaries at Rs3.

Financial Summary

(Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
NII (mn)	389,894	474,661	602,543	717,504	824,779
yoy (%)	16.9	21.7	26.9	19.1	15.0
PAT	161,927	233,395	283,198	340,029	373,321
yoy (%)	101.9	44.1	21.3	20.1	9.8
BV (Rs)	213.2	245.0	271.1	318.8	371.3
ABV (Rs)	196.1	234.9	258.9	304.5	355.7
P/ABV (x)	4.0	3.3	3.0	2.6	2.2
ROE (%)	12.3	14.7	15.8	16.6	15.6
ROA (%)	1.4	1.8	1.9	2.0	1.9
Gross NPAs (%)	5.6	3.9	3.4	3.3	3.2
PCR (%)	77.6	79.5	75.5	74.1	75.5

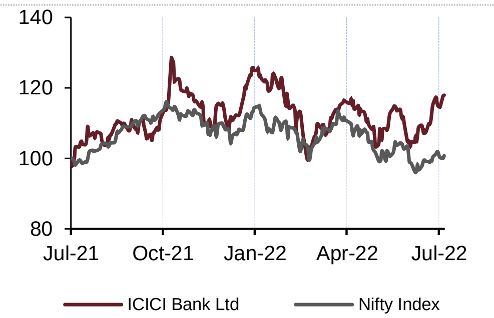
Company, Dalal & Broach Research

Rating	TP (Rs)	Up/Dn (%)
BUY	**1,012**	**31**

Market data		
Current price	**Rs**	**773**
Market Cap (Rs.Bn)	(Rs Bn)	5,379
Market Cap (US$ Mn)	(US$ Mn)	67,252
Face Value	Rs	2
52 Weeks High/Low	Rs	867 / 595
Average Daily Volume	('000)	15,714
BSE Code		532174
Bloomberg		ICICIBC.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	**Jun-22**	**Mar-22**
Promoters	-	-
Public	100	100
Total	**100**	**100**

Source: Bloomberg

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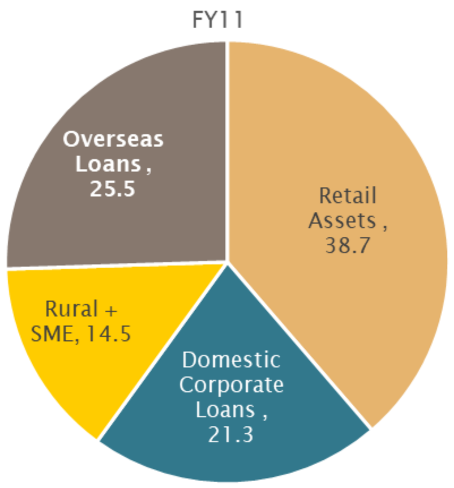
Investment Rationale

➢ The bank has come a long way in diversification its balance-sheet

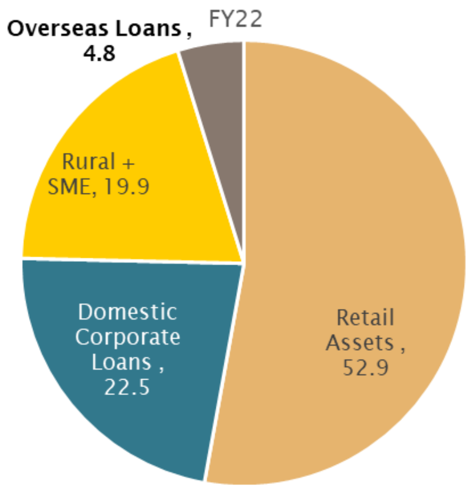
Transformation of the bank from corporate & international loans dominated one to retail driven has been exemplary. In addition to this, there has been gradual improvement in its liability franchise and also cleaning up its balance-sheet has been well recognized by the investors.

Retail assets have grown at 17% CAGR in last 11 yrs (FY11-22) and has contributed 58% of the incremental total asset growth. For the same period, domestic corporate loans grew at slower pace at 13% CAGR while overseas book de-grew by 3%. Resultant, share of retail loans has increased from 39% in FY11 to 53% in FY22, while at the same time, overseas book share has fallen from 25.5% to 4.8% for the same period. Balance-sheet of the bank has become more granular, diversified and stable now as compared to corporate heavy balance sheet previously that used to bring seasonality & volatility in the earnings of the bank. Positively, share of home loans has increased from 25% in FY11 to 34% in FY22 – which is long gestation product with lower defaults. Adding to this, since cost of deposits of the bank has fallen to <4% (one of the lowest in the industry), bank can add better rated corporates in its portfolio without sacrificing on the margins. Expected revival in the corporate credit demand will also be fruitful for the bank, since it has hand-on experience in project financing.

Retail assets share has increased from 39% in FY11 to 53% in FY22



Source Company, Dalal & Broach Research



Source: Company, Dalal & Broach Research

Break-up of the loan portfolio

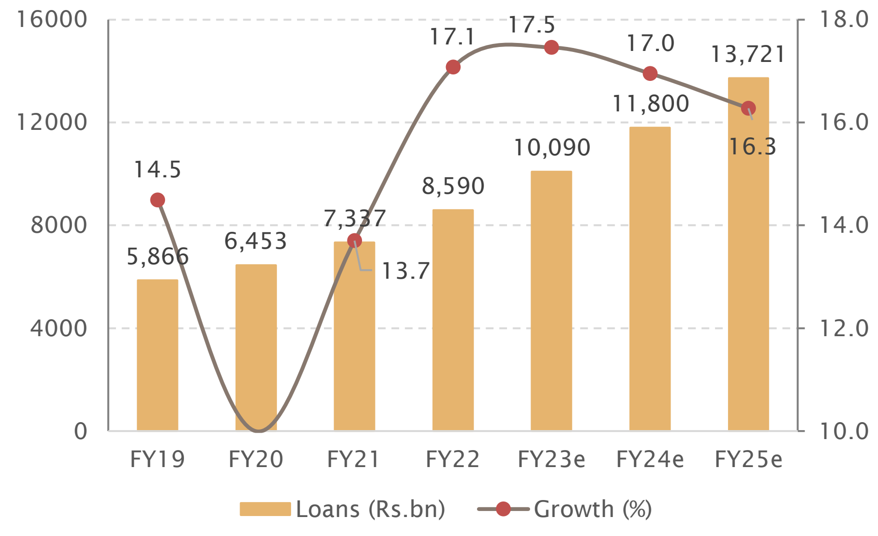
(Rs.bn)	FY11	FY22	CAGR Growth (%)	FY10	FY22
				% Share	
Retail Assets	837	4,546	16.6	38.7	52.9
-Home Loans	539	2,931	16.6	24.9	34.1
-Retail assets ex home loans	298	1,616	16.6	13.8	18.8
Domestic Corporate Loans	461	1,937	13.9	21.3	22.5
Rural + SME	314	1,707	16.6	14.5	19.9
Overseas Loans	552	413	-2.6	25.5	4.8
Total Loans	**2,164**	**8,590**	**13.4**	100.0	100.0

Source: Company, Dalal & Broach Research

We expect strong asset growth to continue

Loan growth of the bank would be ahead of the industry growth; which is expected to grow by 17.2% CAGR over FY22-24e and retail asset growth is estimated to be higher at 18.9% for the same period. For corporate loans, we expect 12% CAGR growth and SME at 25% CAGR.

Loans are expected to grow at healthy rates.



Source: Company, Dalal & Broach Research

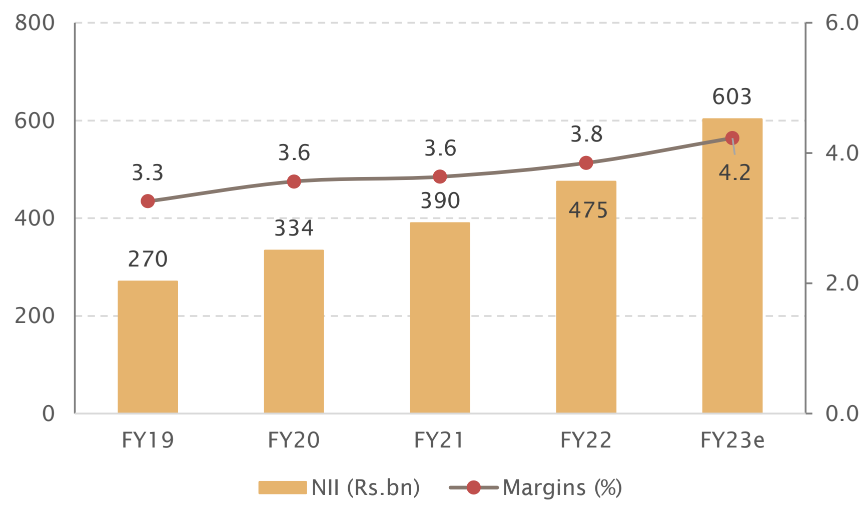
➢ Margin expansion will drive the NII growth

Unlike lower interest rate cycle for the past 3-4 years, Indian economy is headed for higher interest rate cycle which will lead to margin expansion for the banks going forward. The bank has already witnessed surge in the margins for the past 3-4 yrs which was led by lower cost of deposits.

Going forward, we estimate margins to go up to 4.2% in FY23e from 3.9% in FY22 driven by 1) higher yields – out of the total loan portfolio, 30% of the loans are fixed priced loans, 41% are repo rate linked loans (which gets repriced each quarter), 22% are MCLR linked loans (where the reset happens every 6 mnths / 1 yr) and balance 8% of the loan book is earlier benchmark rated loans. The bank has raised its MCLR by >50 bps and EBLR also by ~50 bps post 90 bps repo rate hike done by RBI. More than 50-60% of loans are likely to get repriced at higher rates 2) slower repricing of liabilities than assets – card rates of retail term deposits has increased by 15-20 bps. Higher share of CASA deposits at 49% shall be helpful for the bank in rising interest rate scenario. In addition to this, RBI has hiked CRR by 50 bps to 4.5% which has sucked out the excess liquidity in the system.

On the whole, higher loan growth coupled with margin expansion, NII growth is likely to be strong at 23% CAGR over FY22-24e vs. 19% CAGR FY20-22 period.

NII growth is likely to be strong led by margin expansion and healthy asset growth

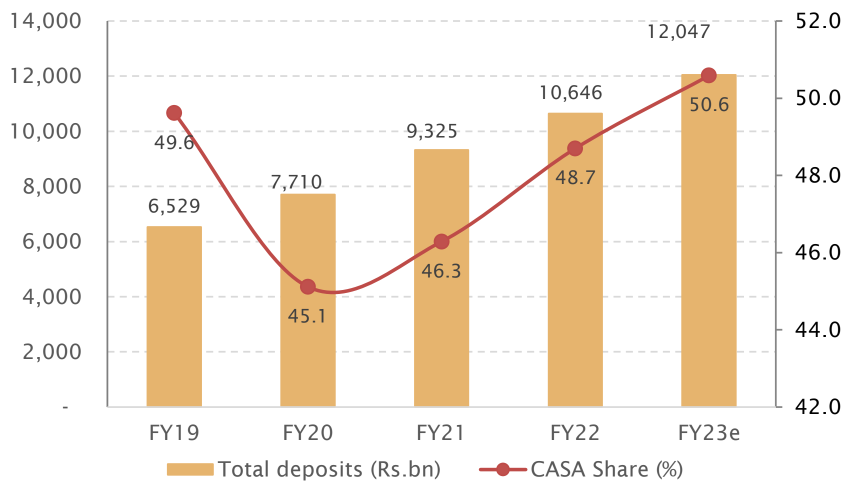


Source: Company, Dalal & Broach Research

➢ Bank has built strong liability franchise

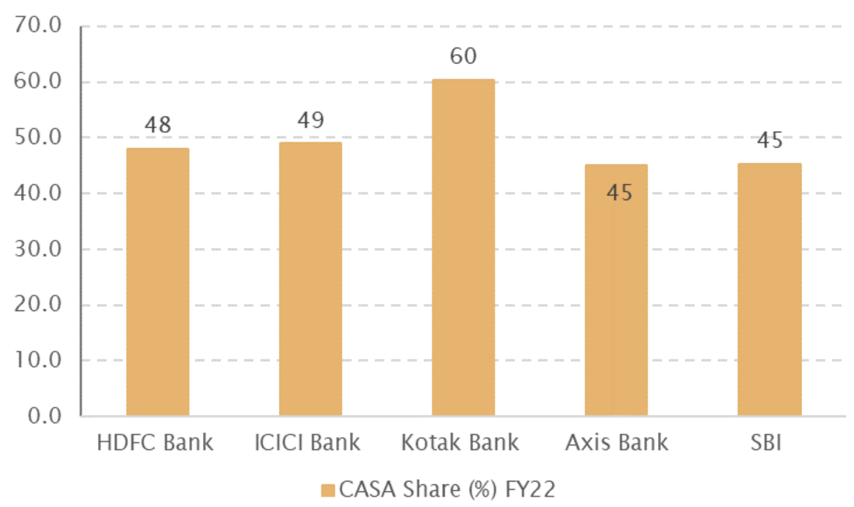
Robust liability franchise, which takes long years to build, is key to banking business. In our opinion, ICICI Bank has gained considerable size in deposit base with improving CASA profile. Demand and savings deposits have grown by 16% CAGR during FY16-22 and its share in total deposits stands at higher levels of 49% of total deposits. Term deposit growth has been also healthy at 17.6% CAGR for the same period. Branch expansion, brand of the bank, better digital offerings has played meaningful role in building strong deposit base. Benefitted by lower interest rate environment, avg. cost of these deposits is low currently at 3% (FY22). CASA deposit share of bank is also at one of highest among peers bank at 49% (FY22), 48% for HDFC Bank, 45% for Axis Bank.

CASA deposits share is witnessing improving trend



Source: Company, Dalal & Broach Research

ICICI Bank has one of the best CASA ratio among the large peer banks



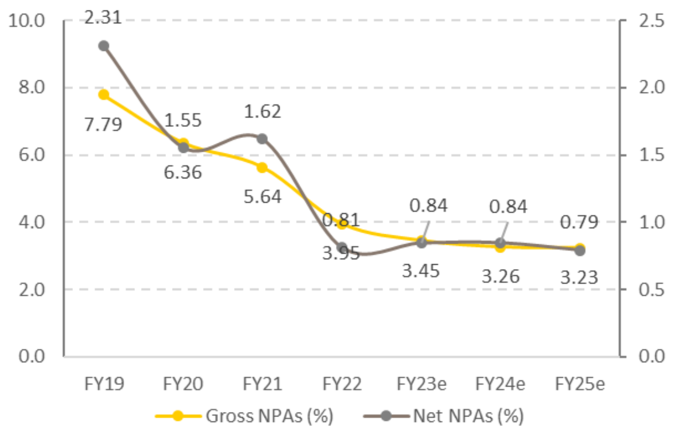
Source: Company, Dalal & Broach Research

➢ Asset quality outlook looking better

Management has diligently cleaned up the legacy retail NPLs, improved the underwriting of the process of the loans and built more granular retail asset portfolio. Higher cumulative write-offs (Rs8.5 bn during FY17-22), lower delinquencies and greater upgradations & recoveries (Rs517 bn) has helped gross NPAs to come off from peak of 9.1% in FY17 and 10.8% in FY18 to 3.9% in FY22. On the retail portfolio side, the bank uses proprietary & data analytics in addition to bureau checks which has helped it to keep check on asset quality risks. Also, in the business banking and SME business, the bank does parameterized and programme based lending, granularity, collateral and robust monitoring which again helps it to contain risks.

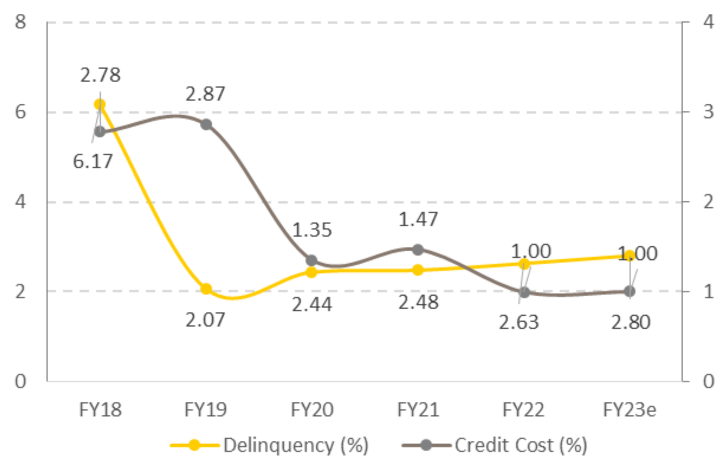
Management expects provisioning cost to operating profit should not exceed 25% for the fiscal FY23. Gross NPLs is expected to come down to 3.4% in FY23e from 3.95% in FY22 while provisioning will remain above 75% levels. In addition to this, the bank holds contingent provisions Rs74.5 bn as at FY22 which can cushion the profits in uncertain scenario.

Asset quality has improved remarkably over last 4-5 years



Source: Company, Dalal & Broach Research

Credit cost will normalise at 1% for FY23e



Source: Company, Dalal & Broach Research

➢ Strengthening of digital capabilities has aided business growth

ICICI Bank has enhanced its digital offerings which has enabled it to garner sizeable volumes of the business. The ICICI STACK, API banking platform, iMobile app, InstaBiz (universal app for small business), BizPay 360 (Bulk Payment Solution) etc. – these offerings has led to significant growth in digital sourcing and transactions for the bank. Recently, the bank made InstaBiz app interoperable for merchants, implying its non-asset customer can also take benefits of the app. Number of transaction done via UPI iMobile Pay has registered 3.2x increase on yoy basis in FY22. There was 3x increase in number of accounts opened digitally, 2.9x growth in API volume, 2.4x growth in corporate integrations, 2x growth in supply chain counterparties. In addition to this, 50% of personal loans are digitally sourced, 67% of credit cards, 37% of term life insurance policies is sold online.

Valuations

Retain BUY with revised TP of Rs1012, upside of 31% from current levels

In our view, ICICI Bank is in one of the best position currently – strong balance-sheet alongwith solid PAT levers viz. margin expansion + healthy asset growth. Also, the bank being one of the large private sector banks has ability to ride on corporate credit demand revival. On the asset quality side, we do not see any negative surprises (gross NPAs estimated to be at 3.4% in FY23e vs. 3.9% in FY22). In addition to this, the bank holds contingent provisions Rs74.5 bn as at FY22 which can cushion the profits in uncertain scenario.

On the whole, PAT is estimated to grow by 21% CAGR during FY22-24e. On the return ratio side, ROA (calculated) would grow to 2% in FY24e from 1.8% in FY22 and ROE to 16.6% from 14.7% for the same period.

We retain BUY rating on the stock with revised TP of Rs1012; valuing parent bank at Rs853 (assigning a multiple of 2.8x on FY24e ABV), life insurance at Rs62, general insurance at Rs52, asset management business at Rs42, securities business at Rs25 and home finance business at Rs2 and overseas subsidiaries at Rs3.

Sum of the part valuations

	Shareholding of ICICI Bank	Valuation Per share	Valuation Criteria
Value of banking business (1)		853	2.8x FY24e ABV of Rs.
Subsidiaries			
ICICI Pru Life	51.3%	62	2x FY24e EV
ICICI Lombard	48.1%	52	35x FY24e PAT of Rs21.5 bn
ICICI AMC	30.0	42	30x FY24e PAT of Rs19.2 bn
ICICI Securities	74.9%	25	10x FY24e PAT of Rs23.3 bn
Home Finance	100.0%	2	1x FY24e ABV of Rs16.9 bn
Overseas subsidiaries		3	0.5x current FY22 BV
Total of subsidiaries		**188**	
Less: 15% holding co. discount		28	
Sub value post discount		159	
Total of (1) + (2)		1012	
CMP (Rs)		772	
Upside		31.1	

Source: Company, Dalal & Broach Research

ICICI Bank, having one of the lowest deposit cost currently, has become competitive in taking good sizeable share in both retail & corporate loans without much sacrificing on the margins side. For e.g. its MCLR currently at 7.5% /7.75% is similar to HDFC Bank rates of 7.5%/8.05%. In Q2FY23 call, HDFC Bank highlighted that its choosing to not to increase the lending rates much in order to retain market share, implying in large corporate segment, competition has escalated wherein ICICI Bank has also become one of the competitors. Going forward, for ICICI Bank, in our view, there would be EPS growth + valuation appreciation.

Peer Comparison

	CMP	TP	Rating	P/ABV			ROA (%)		ROE (%)	
				FY22	FY23e	FY24e	FY23e	FY24e	FY23e	FY24e
ICICI Bank	772	1012	BUY	3.3	3.0	2.6	1.9	2.0	15.8	16.6
HDFC Bank	1348	1794	BUY	3.2	2.8	2.4	2.0	2.1	17.3	18.1
Axis Bank	695	935	BUY	1.9	1.7	1.5	1.3	1.5	13.4	14.5

Source: Company, Dalal & Broach Research

Financial

Profit & Loss Statement (Rs. Mn)	FY21	FY22	FY23e	FY24e	FY25e
INTEREST EARNED	**791,183**	**863,746**	**1,070,541**	**1,276,441**	**1,488,964**
Interest/Discount on advances/Bills	572,888	638,336	784,561	952,218	1,122,924
Income from Investment	165,398	164,093	218,145	249,897	285,865
Interest on Balances with RBI & Others	16,319	15,608	17,554	19,018	19,336
Others	36,578	45,709	50,280	55,308	60,839
INTEREST EXPENDED	**401,288**	**389,085**	**467,998**	**558,937**	**664,184**
Interest on Deposits	332,563	300,481	358,484	427,401	507,324
Interest on RBI/Inter-Bank Borrowings	6,762	8,000	9,000	10,000	12,000
Others	61,963	80,603	100,514	121,536	144,860
Net Interest Income (NII)	**389,894**	**474,661**	**602,543**	**717,504**	**824,779**
OTHER INCOME	189,685	185,175	195,613	221,326	249,331
TOTAL INCOME	**579,580**	**659,836**	**798,155**	**938,830**	**1,074,111**
Payment to and provisions for employees	80,918	96,730	110,272	124,608	143,299
Operating Expenses excluding employees pı	134,691	170,603	204,724	235,432	287,228
OPERATING EXPENSES	215,608	267,333	314,996	360,040	430,526
OPERATING PROFIT	**363,971**	**392,503**	**483,159**	**578,790**	**643,584**
PROVISIONS	162,144	86,414	111,995	133,143	154,304
Provision for Non Performing Assets	107,991	85,664	100,898	118,002	137,208
Profit Before Tax (PBT)	**201,827**	**306,089**	**371,164**	**445,647**	**489,281**
PROVISIONS FOR TAXES	39,900	72,694	87,966	105,618	115,960
PAT	**161,927**	**233,395**	**283,198**	**340,029**	**373,321**
(% change)	102	44	21	20	10
EPS	23	34	41	49	54
Total Paid-Up Capital	13,834	13,900	13,900	13,900	13,900

Balance Sheet (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
Application of funds					
Cash & bank balances	460,312	601,208	736,287	891,349	1,081,077
Bal. with banks and money at call & short n	870,971	1,077,015	1,117,258	1,120,160	1,154,685
Advances	7,337,291	8,590,200	10,089,832	11,800,245	13,720,762
Investments	2,812,865	3,102,410	3,361,154	3,778,761	4,273,764
Fixed Assets	88,776	93,738	100,300	105,315	111,634
Other Assets	734,112	648,406	583,561	554,383	537,752
TOTAL ASSETS	**12,304,327**	**14,112,977**	**15,988,392**	**18,250,214**	**20,879,673**
Sources of funds					
Total Paid-Up Capital	13,834	13,900	13,900	13,900	13,900
RESERVES & SURPLUS	1,461,227	1,688,556	1,870,184	2,201,838	2,566,785
ESOPs	31	2,664	2,664	2,664	2,664
DEPOSITS	9,325,222	10,645,716	12,047,327	13,573,590	15,398,347
BORROWINGS	916,310	1,072,314	1,225,144	1,475,652	1,743,457
OTHER LIABILITIES & PROVISIONS	587,704	689,828	829,173	982,570	1,154,520
TOTAL LIABILITIES	**12,304,327**	**14,112,977**	**15,988,392**	**18,250,214**	**20,879,673**

Source: Company, Dalal & Broach Research

Ratio Analysis

(A) Efficiency Ratios (%)	FY21	FY22	FY23e	FY24e	FY25e
Int. exp/Int. earned	50.7	45.0	43.7	43.8	44.6
NII / Total Income	67.3	71.9	75.5	76.4	76.8
Other income / Total Income	32.7	28.1	24.5	23.6	23.2
Fee income / Other income	56.3	63.6	69.2	69.1	69.3
Fee income / Total Income	18.4	17.8	17.0	16.3	16.1
Cost / Income	37.2	40.5	39.5	38.3	40.1
Cost/Income (exluding trading gains)	40.8	42.4	40.3	39.1	40.8
C-D ratio	78.7	80.7	83.8	86.9	89.1
I-D ratio	30.2	29.1	27.9	27.8	27.8
Incremental CD ratio	54.7	94.9	107.0	112.1	105.2
Incremental ID ratio	19.7	21.9	18.5	27.4	27.1
Loan / Assets ratio	59.6	60.9	63.1	64.7	65.7
Deposits / Assets ratio	75.8	75.4	75.4	74.4	73.7
CASA / Total Deposits	46.3	48.7	50.6	52.2	53.6
B) Spreads (%)	**FY21**	**FY22**	**FY23e**	**FY24e**	**FY25e**
Yield on Assets	7.4	7.0	7.5	7.8	7.9
Yield on Advances	8.3	8.0	8.4	8.7	8.8
Yield on Investments	6.2	5.5	6.8	7.0	7.1
Cost of Funds	4.1	3.5	3.7	3.9	4.1
Cost of Deposits	3.9	3.0	3.2	3.3	3.5
Cost of Earning Assets	3.7	3.2	3.3	3.4	3.5
Net Interest Spread	3.3	3.5	3.8	3.9	3.8
Net Interest Margin	3.6	3.8	4.2	4.4	4.4
Spreads on Investments					
C) Solvency	**FY21**	**FY22**	**FY23e**	**FY24e**	**FY25e**
Gross NPAs (Rs)	413,730	339,200	347,835	384,264	442,963
Net NPAs (Rs)	118,565	69,609	85,089	99,661	108,375
Provisions (Rs mn)	321,131	269,591	262,746	284,603	334,588
Gross NPAs / Gross Advances (%)	5.6	3.9	3.4	3.3	3.2
Net NPAs / Net Advances (%)	1.6	0.8	0.8	0.8	0.8
Provisions Coverage Ratio (%) (Excl. FI.	77.6	79.5	75.5	74.1	75.5
Delinquency rate(%)	2.48	2.63	2.80	2.90	3.00
Credit cost (%) (incl NPA provisions)	**1.5**	**1.0**	**1.0**	**1.0**	**1.0**

Source: Company, Dalal & Broach Research

D) Measures of Investment	FY21	FY22	FY23e	FY24e	FY25e
EPS (Rs)	23.4	33.6	40.7	48.9	53.7
BV (Rs)	213.2	245.0	271.1	318.8	371.3
Adjusted BV (Rs)	196.1	234.9	258.9	304.5	355.7
DPS (Rs)	2.0	5.0	6.0	7.0	8.0
Avg. ROE (%)	12.3	14.7	15.8	16.6	15.6
Avg. ROA (%)	1.4	1.8	1.9	2.0	1.9
PAT / Avg. RWA (%)	2.0	2.7	6.2	51.5	56.6
Pre-tax ROA (%)	1.7	2.3	2.5	2.6	2.5
Pre-provisioning operating ROA (%)	3.1	3.0	3.2	3.4	3.3
Pre-provisioning operating ROE (%)	27.6	24.7	26.9	28.2	26.8
P/E (x)	33.2	23.1	19.1	15.9	14.5
P/BV (x)	3.6	3.2	2.9	2.4	2.1
P/ABV (x)	4.0	3.3	3.0	2.6	2.2
Dividend yield (x)	0.3	0.7	0.8	0.9	1.1
Dividend Payout ratio (%)	8.5	14.9	14.7	14.3	14.9
Effective tax rate (%)	19.8	23.7	23.7	23.7	23.7
Leverage (x)	8.8	8.3	8.4	8.4	8.2
E) Breakdown of ROA (%)	**FY21**	**FY22**	**FY23e**	**FY24e**	**FY25e**
Interest Income	6.8	6.5	7.1	7.5	7.6
Interest expenses	3.4	2.9	3.1	3.3	3.4
NII/avg assets	3.3	3.6	4.0	4.2	4.2
Non-NII/avg. assets	1.6	1.4	1.3	1.3	1.3
Total Income	5.0	5.0	5.3	5.5	5.5
Operating exp/avg. assets	1.9	2.0	2.1	2.1	2.2
Operating profit/avg assets	3.1	3.0	3.2	3.4	3.3
Provisions/avg. assets	1.4	0.7	0.7	0.8	0.8
PBT/avg. assets	**1.7**	**2.3**	**2.5**	**2.6**	**2.5**
Tax/avg. assets	0.3	0.6	0.6	0.6	0.6
PAT/avg. assets	1.4	1.8	1.9	2.0	1.9
Leverage	8.3	8.3	8.5	8.2	8.1
F) Growth Rates (%)	**FY21**	**FY22**	**FY23e**	**FY24e**	**FY25e**
Interest Income	5.6	9.2	23.9	19.2	16.6
Interest Expenses	(3.4)	(3.0)	20.3	19.4	18.8
NII	16.9	21.7	26.9	19.1	15.0
Other Income	15.3	(2.4)	5.6	13.1	12.7
Total Income	**16.4**	**13.8**	**21.0**	**17.6**	**14.4**
Operating Income	**29.1**	**7.8**	**23.1**	**19.8**	**11.2**
Net Profit	101.9	44.1	21.3	20.1	9.8
Deposits	21.0	14.2	13.2	12.7	13.4
Advances	13.7	17.1	17.5	17.0	16.3

Source: Company, Dalal & Broach Research

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